THE BIG KICKBACK CASE

The 54-page November 20 indictment by the US District Court–Eastern District of New York said Adani, his nephew Sagar Adani, Adani Green Energy CEO Vneet S. Jaain and four executives of Azure Power bribed officials of electricity distribution companies (discoms) in Andhra Pradesh, Chhattisgarh, Tamil Nadu, Odisha and Jammu & Kashmir—to execute power sale agreements (PSAs) under the manufacturing-linked project with the Solar Energy Corporation of India (SECI), the nodal agency for implementation of renewable energy projects. SECI would then buy the power from Adani and Azure to sell to the discoms. Of the $265 million, around $228 million (Rs 1,926 crore) was offered to an unnamed high-ranking Andhra government official who facilitated the state's discoms to agree to buy 7 GW of power from SECI (see *The US Court Indictment*).

With this, Azure Power violated the US's Foreign Corrupt Practices Act (FCPA), which bars companies that operate in the country from bribing foreign officials. While this was a criminal charge, SEC filed a parallel civil case saying that even as the investigations were going on, the Adani Group raised billions of dollars in the US without disclosing it to the investors. Between 2020 and 2024, Adani Green Energy raised over $2 billion (Rs 16,866 crore) in loans from international financial institutions and US-based asset management companies as well as $1 billion (Rs 8,433 crore) through securities. "These are horribly serious charges," says Subhash Chandra Garg, former Union finance secretary. "The US system reaches such an indictment stage only after an enormous amount of investigation, collection of evidence and even confronting the accused. The case is very, very solid." It will impact Indian companies' ability to raise finance from US markets, the largest funding source. The charges will also taint Indian authorities and businessmen in the eyes of foreign investors, Garg notes.

The Adani Group has denied the allegations. "As stated by the US Department of Justice itself, 'the charges in the indictment are allegations and the defendants are presumed innocent unless and until proven guilty'. All possible legal recourse will be sought," it said in a statement on November 21. In a filing to the stock exchanges on November 27, Adani Green Energy said Gau-

THE US COURT INDICTMENT

A summary of the charges against Gautam Adani and others, as revealed in the case before the Eastern District Court of New York

1. WHAT THE DEAL WAS



↘ Between Dec. 2019 and Jul. 2020, Adani Green Energy and Azure Power, an NYSE-listed Indian solar power producer, **wins the Solar Energy Corporation of India's (SECI) tender** to supply 8 GW and 4 GW of solar power. SECI, a central PSU, is the nodal agency for green energy projects

↘ **But high prices make it difficult for SECI to find buyers.** Without power sale agreements (PSAs) with state discoms, SECI is unable to finalise the deal with Adani Green Energy and Azure Power. Hence, according to US prosecutors, the bribery plot was hatched

4. ACCUSATIONS

Against Adani Green Energy and Azure Power

↘ Paying **bribes to state government officials** to secure solar power contracts

↘ Raising funds from international financial institutions and US-based AMCs **without disclosing involvement in malpractice**

↘ **Obstructing US inquiries** into the transfer of contracts from Azure to Adani and the alleged payment of bribes

5. THE DEFENCE

"AS STATED BY THE US DEPARTMENT OF JUSTICE ITSELF, 'THE CHARGES IN THE INDICTMENT ARE ALLEGATIONS AND THE DEFENDANTS ARE PRESUMED INNOCENT UNLESS AND UNTIL PROVEN GUILTY.' ALL POSSIBLE LEGAL RECOURSE WILL BE SOUGHT"

ADANI GROUP, *Nov. 21*